

basis for the practice established by the Office for the examination of patent applications and oppositions to granted patents.

Since then, at the 148th meeting of the Administrative Council of the European Patent Organisation (Munich, 29 and 30 June 2016), the Council approved a comprehensive reform package concerning the Boards of Appeal. The aims of the reform were to strengthen the Boards' organisational and managerial autonomy and increase their efficiency. The reform took effect within the existing framework of the European Patent Convention, without requiring its revision. It included, with effect from 1 July 2016, a new institutional framework. The Boards of Appeal and the Enlarged Board of Appeal, including their registries and support services, are now organised as a separate unit directed by the President of the Boards of Appeal.

Concerning the organisation of the Boards of Appeal and the Enlarged Board of Appeal, R. 12 EPC has been replaced by R. 12a to 12d EPC and R. 13 EPC has been amended.

At the 150th meeting of the Administrative Council of the European Patent Organisation (Munich, 14 and 15 December 2016), the first President of the Boards of Appeal was appointed. Delegation of functions and powers from the President of the European Patent Office to the President of the Boards of Appeal can be found in part XV. "Structural reform of the boards of appeal" of supplementary publication 1 of the Official Journal (published each year) "Information from the Boards of Appeal Presidium, business distribution and texts relating to the proceedings".

The main documents concerning the structural reform of the Boards of Appeal are: CA/16/15, 06.03.2015 (Proposal for a structural reform of the EPO Boards of Appeal); CA/43/16 Rev. 1, 30.06.2016 (Reform of the Boards of Appeal); CA/D 6/16, 30.06.2016, OJ 2016, A100 (decision of the Administrative Council amending the Implementing Regulations to the European Patent Convention); CA/D 7/16, 30.06.2016, OJ 2016, A101 (decision of the Administrative Council setting up a Boards of Appeal Committee – as a subsidiary body of the Administrative Council – and adopting its Regulations).

1.2. Boards of appeal as judicial authorities

1.2.1 Courts of law under the EPC

In G. 1/86 the Enlarged Board held that those EPC provisions governing the independence of members of the boards of appeal (Art. 23 EPC), their competence and method of work and the nature of the decisions they take, indicate that the boards act as courts with the task of ensuring that the law is respected when the EPC is applied. Moreover, there is no appeal against decisions of the boards. In the member states of the European Patent Organisation decisions by departments of last instance, i.e. those terminating proceedings concerned with checking the legality of administrative actions and the protection of the rights of the individual, can only be taken by courts of law. Since that decision, however, the situation has changed in that Art. 112a EPC, introduced as part of the revised EPC 2000, now provides for the possibility of reviewing final decisions of the boards in exceptional cases (see chapter V.B.3.).

In T.1400/11 the board stated that according to the Enlarged Board in G.7/91 and G.8/91 (OJ 1993, 356, 346, point 7 of the Reasons, and 478), G.9/91 and G.10/91 (OJ 1993, 408, 420, point 18 of the Reasons) and G.1/99 (OJ 2001, 381, point 6.6 of the Reasons), the appeal procedure is to be considered as a judicial procedure proper to an administrative court. See also chapter V.A.1. "Legal character of appeal procedure". In G.2301/15 the Enlarged Board stated that the board members' function as judges was generally recognised. In G.2301/16, concerning the same case, the Enlarged Board saw the Office President's letter of 10 June 2016 as a violation of Art. 23(3) EPC (judicial independence). It considered that the pressure exercised by the Office President in this case was incompatible with the judicial independence of the Enlarged Board guaranteed by the EPC. The Enlarged Board's judicial independence in deciding on this case was fundamentally denied.

1.2.2 Tribunals under Article 6 of the European Convention on Human Rights

According to the first sentence of Art. 6(1) of the European Convention on Human Rights (ECHR), "[i]n the determination of his civil rights and obligations ... everyone is entitled to a fair and public hearing within a reasonable time by an independent and impartial tribunal established by law."

In R.8/13 of 20 March 2015 the Enlarged Board of Appeal stated that it was established case law of the Enlarged Board (R.2/14 of 17 February 2015: and of the boards of appeal) that the EPC, which had been signed by contracting parties to the ECHR, must be applied in a way which supports the fundamental principles of Art. 6(1) ECHR (G.1/05, OJ 2007, 362, point 22 of the Reasons; G.2/08 of 15 June 2009, point 3.3 of the Reasons). It further stated that the Enlarged Board fell within the definition laid down by the European Court of Human Rights (hereinafter "ECHR") in *Campbell and Fell v. the United Kingdom* (28 June 1984, No 7819/77, paragraph 76): "the word 'Tribunal' in Article 6 paragraph 1 is not necessarily to be understood as signifying a court of law of the classic kind, integrated within the standard judicial machinery of the country". A tribunal may also be set up to deal with specific subject-matter which can be appropriately administered outside the ordinary court system. What is important, to ensure compliance with Art. 6(1) ECHR, are the guarantees, both substantive and procedural, which are in place (ECHR, *Rolf Gustafson v. Sweden*, 1 July 1997, No. 23196/94, paragraph 45).

In R.1/16, the Enlarged Board ruled that a complaint based on a breach of the right to a fair trial under Art. 6(1) ECHR, of the protection of legitimate expectations and of the judicial duty to direct the parties was inadmissible as such because those were not grounds included in the exhaustive list under Art. 112a(2) EPC in conjunction with R. 104 EPC.

See also chapter III.H.3. "The European Convention on Human Rights".

1.2.3 Judicial or quasi-judicial authorities under the TRIPS Agreement

As to the applicability of the TRIPS Agreement in proceedings before the EPO, see chapter III.H.2. "Interpretation of the EPC affected by TRIPS Agreement".

Art. 62(5) TRIPS provides that final administrative decisions in procedures concerning the acquisition or maintenance of intellectual property rights and, where a member's law provides for such procedures, administrative revocation and inter partes procedures such as opposition, revocation and cancellation, must be subject to review by a **judicial or quasi-judicial** authority. Art. 32 TRIPS requires member countries to provide an opportunity for **judicial** review of any decision to revoke or forfeit a patent.

In G 1/97 (OJ 2000, 322) the Enlarged Board of Appeal noted that boards of appeal may be seen as having the status of judicial authorities, since they embody all the features of such an authority: in their decisions, the members of the boards are not bound by any instructions and are obliged to comply only with the provisions of the EPC (Art. 23(3) EPC 1973; see also R 19/12 of 25 April 2014, where the Enlarged Board stressed that the Service Regulations for EPO employees provide in Art. 1(4) that they only apply to board members in so far as they are not prejudicial to their independence); they are appointed for a fixed term, during which they may not be removed from office except if there are serious grounds for so doing (Art. 23(1) EPC 1973); the EPC contains provisions for safeguarding the impartiality of board members (Art. 24 EPC 1973); the boards always include at least one legally qualified member (Art. 21 EPC 1973); they have their own rules of procedure; and finally, they issue written decisions containing a statement of reasons (R 66(2) EPC 1973 – R 102 EPC). Regarding the judicial nature of the boards of appeal, reference was also made to the House of Lords' decision of 26 October 1995 in *Merrel Dow v. Norton*, [1996] R.P.C. 76, and to the decision of the United Kingdom High Court of Justice dated 20 December 1996, in the case of *Lenzing AG's European Patent (UK)*, [1997] R.P.C., 245). Even if the status of a judicial authority were to be contested, it would be clear that, in the light of the foregoing, the boards of appeal constitute at least a quasi-judicial authority as referred to in Art. 62(5) TRIPS. The Enlarged Board also examined the relationship between Art. 62(5) TRIPS and Art. 32 TRIPS. Art. 32 appears in Part II of TRIPS, which does not contain rules of procedure concerning the acquisition of patent rights but provisions concerning the exercise of rights conferred by a patent, together with certain rules on substantive patent law. By contrast, Part IV of TRIPS, containing Art. 62 as its sole provision, deals with the acquisition and maintenance of intellectual property rights, which include patent rights. Applying the principle of *lex specialis derogat legi generali*, the Enlarged Board held that this aspect was much more specific than the fact that Art. 32 TRIPS only concerns patents whereas Art. 62 TRIPS also deals with other types of intellectual property rights. The Enlarged Board concluded that Art. 62(5) TRIPS takes precedence over Art. 32 TRIPS in matters relating to the grant of European patents (see also J 3/98).

In T 557/94 the appellant (patentee) referred to Art. 32 TRIPS, which guarantees an opportunity for judicial review of any decision to revoke a patent, and requested that the case be remitted to the department of first instance if the patent were revoked on the basis of a prior art document introduced during appeal proceedings. The board found that, under Art. 111(1), second sentence, EPC 1973, the board of appeal was empowered either to decide on the merits of the case **or** to remit the case; it was not restricted to the latter alternative if the opposition division maintained the patent and the board was considering revoking the patent for the first time (see chapter V.A.9. "Remittal to the department of first instance"). Reading Art. 32 TRIPS in the context of the usual structure of judicial review in

the EPC contracting states and the EPC 1973 itself, this provision guaranteed an instance for judicial review in revocation proceedings, but did not oblige the reviewing instance to remit the case to the department of first instance for continuation of proceedings when revocation was being considered by the judicial instance for the first time.

1.2.4 Courts according to national case law

In R 1/10 the Enlarged Board of Appeal confirmed that the EPO boards of appeal were set up as required by the rule of law. Several high-ranking national courts of EPC contracting states (in particular, the UK's Patents Court and Germany's Federal Court of Justice (Bundesgerichtshof) and Federal Constitutional Court (Bundesverfassungsgericht)) had declared the boards of appeal to be independent courts based on the rule of law (see also R 19/12 of 25 April 2014) and recognised their decisions as those of such a court which they took into consideration when developing their case law.

In J 3/95 (OJ 1997, 493) the Legal Board of Appeal stated that the status of the boards of appeal had been addressed by the High Court of Justice in the United Kingdom (Patents Court) in *R. v The Comptroller of Patents, Designs and Trade Marks ex parte Lenzing AG*. The High Court held that "the final arbiter of revocation under the new legal system [of the EPC] is to be the Board of Appeal of the EPO", and that "the UK and the other Member States have agreed at an international level via the EPC that the BoA is the final arbiter of oppositions. It is the agreed EPO equivalent of the House of Lords (now, the UK Supreme Court), Cour de Cassation or Bundesgerichtshof... Those who apply for patents in the EPO must accept the results of its findings and its methods of procedure". This decision also acknowledged that the boards of appeal constitute a specialised court exercising judicial authority within the meaning of Art. 32 TRIPS (see in this chapter VII.1.2.3).

1.2.5 Cases pending before the German Federal Constitutional Court concerning the independence of the boards of appeal

In ex parte case T 1473/13, the request in support of a stay of proceedings mentioned constitutional complaints pending before the German Federal Constitutional Court (2 BvR 2480/10, 2 BvR 421/13, 2 BvR 756/16, 2 BvR 786/16) for insufficient judicial relief ("wegen unzureichenden Rechtsschutzes") at the EPO against a decision of the Boards of Appeal. The appellant referred to the question whether the FCC held the EPO boards of appeal not to be empowered to review decisions of examining divisions because its members did not enjoy judicial independence. If so, the appellant would be deprived of its right to present its case again before an independent judicial body to be set up should the board not stay the proceedings. This would amount to an infringement of the appellant's right to be heard pursuant to Article 113 EPC. The appellant would have to file constitutional complaints before the national courts of the designated contracting states. Conversely, if the present proceedings were stayed, no final decision would be given, and the appellant would be in a position to present its case before an independent judicial body that would have to be set up. The appellant made assertions without providing details or/and explanation for example on whether the FCC has jurisdiction on acts of the EPO, in relation to Germany, according to German constitutional law, and, if so, what was the scope of such jurisdiction and what are the powers vested in the FCC to exercise it. The

board considered it appropriate to cover the essentials of the point of law of its own motion. Decisions by the EPO boards of appeal are, in principle, subject to review by the FCC. But so far there is no FCC case law on the implementation of a finding by the FCC that an EPO decision infringed the German Basic Law.

Eventually the board of appeal in case T.1473/13 considered that the appellant did not show that non-stay would cause a legal disadvantage for it in case of success of the constitutional complaints. On the other hand, the consequences of a stay of the present proceedings would impinge on effective judicial review in the present case by causing a delay of the proceedings. Furthermore, if other boards adopted the same approach, the administration of justice by the boards might become severely hampered and may even grind to a halt. In absence of an established disadvantage for the appellant, the respective adverse consequences of staying or not staying the proceedings could not be balanced. Consequently, the request for a stay was refused. The board also as to the nature of the board of appeal observed that examples show that board of appeal decisions were or are qualified as administrative rulings in jurisdictions other than that of the European Patent Organisation.

The board in T.1473/13 thoroughly reviewed the existence of procedural principles under Art. 125 EPC, aspects of the rule of law (ECHR) including effective judicial review, and independent and impartial courts. A stay of proceedings only needed to be addressed in case of an actual finding of a greater disadvantage by deciding on a case than by not deciding on it.

1.3. Not a court or tribunal of an EU Member State

In T.276/99, the board noted that under the EC Treaty referrals to the Court of Justice of the European Communities (CJEC; now Court of Justice of the European Union – CJEU, its name since 1 December 2009) were governed by Art. 234 (now Art. 267 TFEU). The board pointed out that, *prima facie*, as the EPO boards of appeal were not a court or tribunal of an EU Member State, they did not have the status to refer a question to the CJEC.

In G.2/06 (OJ 2009, 306) the appellant had requested a referral of questions to the Court of Justice of the European Communities (CJEC, as it was at the time; now CJEU) on the argument that, since R.28(c) EPC repeats the wording of Art. 6(2)(c) of Directive 98/44/EC, the Enlarged Board of Appeal in interpreting R.28(c) EPC was interpreting European Union law. The request was rejected as inadmissible. The Enlarged Board made it clear that neither the EPC nor the Implementing Regulations thereto contain any provision for a referral by any instance of the EPO of questions of law to the CJEC. The boards of appeal are a creation of the EPC, and their powers are limited to those given in the EPC. Art. 234 of the EC Treaty gives the CJEC jurisdiction to give preliminary rulings concerning the interpretation of acts of the institutions of the European Community, such as the Directive, but does not appear to provide any basis for a board of appeal of the EPO to request the CJEC to give a ruling on any questions before a board of appeal. Art. 234 ECT requires the question to be raised in a case pending before a court or tribunal of an EU member state. The seat of the boards of appeal in an EU member state, Germany,